HOME AFRIKA
Houses Become Homes

Pent Suite 01 | 5th Floor, Morningside Office Park | Ngong Road, P.O. Box 6254 – 00100, Nairobi. Tel: +254 (0) 20 272000
info@homeafrika.com | www.homeafrika.com

29th April, 2015

Mr. Paul Muthaura
Ag. Chief Executive
Capital Markets Authority
Embarkment Plaza
NAIROBI

Dear Sir,

HOMEAFRIKA LIMITED – AUDITED ANNUAL FINANCIAL STATEMENTS FOR THE YEAR ENDED 31st DECEMBER 2014

The above subject refers.

In compliance with the continuing listing obligations of the Capital Markets (public offers, listing and obligations regulations - 2002),we hereby submit to you extracts from the audited financial statements for the year ended 31st December 2014 which were approved by the Board of Directors at their meeting held on 28th April 2015.

We intend to publish the results of the company in the daily newspapers on Thursday 30th April 2015.

Yours Faithfully,

Njoroge Ng'ang'a

CHIEF EXECUTIVE OFFICER

cc. Mr. Geoffrey Odundo,
Chief Executive Officer
Nairobi Securities Exchange
The Exchange, Westlands Road
NAIROBI

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The Directors of Home Afrika limited are pleased to announce the audited Group results for the year ended 31st December 2014.

Condensed Statement of Profit or Loss and Other Comprehensive Income	2014 Kshs.	2013 Kshs.
Revenue	**687,300,740**	**650,577,657**
Cost of sales	(447,026,877)	(261,692,754)
Gross profit	**240,273,863**	**388,884,903**
Other operating income	114,878,350	107,565,148
Selling and distribution expenses	(53,983,001)	(63,784,282)
Administrative expenses	(213,113,280)	(212,222,659)
Other operating expenses	(27,704,325)	(27,104,801)
Operating profit	**60,351,607**	**193,338,309**
Finance costs	(12,576,936)	(9,873,800)
Profit before tax	**47,774,671**	**183,464,609**
Tax charge	(38,818,642)	(102,834,652)
Total comprehensive income	**8,956,029**	**80,629,957**
Profit attributable to:		
-Owners of the parent	(17,876,737)	19,015,020
-Non controlling interest	26,832,766	61,614,937
	8,956,029	**80,629,957**
(Loss)/Earnings per share		
-Basic and diluted	(0.04)	0.05

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Condensed Statement of Financial Position	2014 Kshs.	2013 Kshs.
EQUITY & NON-CURRENT LIABILITIES		
Share capital	405,255,320	405,255,320
Share premium	68,842,038	68,842,038
Accumulated deficit	(185,170,322)	(167,293,585)
Equity attributed to owners of the parent	288,927,036	306,803,773
Non-controlling interest	59,455,433	32,622,667
Total equity	348,382,469	339,426,440
Non-current liabilities	864,658,139	499,758,203
	1,213,040,608	**839,184,643**
REPRESENTED BY		
Non-current assets	750,647,809	637,806,643
Current assets	2,967,988,276	2,426,641,998
Current liabilities	(2,505,595,477)	(2,225,263,998)
	1,213,040,608	**839,184,643**

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Condensed Statement of Cash flows	2014 Kshs.	2013 Kshs.
Cash (used in) operations	(245,951,086)	(276,958,716)
Interest paid	(12,576,936)	(9,873,700)
Tax paid	(11,262,548)	(5,313,572)
Net cash (used in) operating activities	**(269,790,570)**	**(292,172,988)**
Net cash (used in) investing activities	(11,360,004)	(23,681,780)
Net cash from financing activities	566,625,785	186,168,642
Increase/(decrease) in cash and cash equivalents	285,475,211	(129,686,126)
Cash and cash equivalents at the start of the year	23,392,763	153,078,889
Cash and cash equivalents at the end of the year	**308,867,974**	**23,392,763**

Explanatory notes: *These results are extracted from the consolidated financial statements of Home Afrika Limited for the year ended 31st December 2014. The financial statements were audited by PKF Kenya and have received an unqualified opinion.*

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CEO's STATEMENT

Home Afrika Ltd is pleased to present the group's financial results for the year ended 31st December 2014. The Group reported an increase in revenue to Kshs. 687 Million from Kshs. 651million representing a 6% growth from the previous year. The group launched 2 new projects in 2014; Lakeview Heights in Kisumu and Llango in Kwale. The increase in revenue is attributable to incremental revenues from the new projects as well as from the flagship Migaa project in Kiambu. Cost of sales significantly increased to Kshs. 447million from Kshs.262million in 2013 representing a 71% increase. This increase in cost of sales and the corresponding decrease in gross profit is on account of sales mix where in the year 2014 most of the sales were of residential properties compared to 2013 where a large portion of sales represented commercial properties achieving a higher margin. The company had embarked on raising finance through a debt issue since early 2014, the proceeds of which were only realized in late December 2014 and early 2015. As a consequence, the investment of such funds in the infrastructure development at the underlying projects of the group has been delayed which is the primary reason for the net profit achieved in 2014 of Kshs. 9 Million being lower than the 2013 profit of Kshs. 80 Million.

Total assets grew to Kshs. 3.7billion from Kshs. 3.1billion in 2013 on account of an increase in inventories from the new projects, the improved valuation of investment properties and cash from the debt issue.

OUTLOOK

The group anticipates continued utilization of the proceeds from the Kshs. 500 million debt issue in project development over the first half of 2015 with resultant benefits in the form of revenue and profits to be generated in the second half of 2015.

Completion of the residential units in Mitini, within Migaa, is expected in May 2015. Key infrastructure works in Migaa including the roads network construction, golf course, , water & sewer reticulation, power distribution and street lighting are accelerating from 2015 going forward for completion in 2017. In this regard, the company has entered into a milestone partnership of USD 22 Million to develop and manage the club house, sports facilities, and the golf course in Migaa.

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The group continues to have substantial amounts held as deferred income, inventories and deposits received for future sales which are expected to convert into revenue and profit as this development continues. To achieve this, the group has significantly increased its marketing efforts to achieve sales of residential and private developer sites at each of its projects and this is expected to start yielding results in the second half of 2015.

The management and board will also continue streamlining costs and increase efficiency to maximize shareholder return. The directors remain confident of the substantial underlying long term value and profit generation in the periods ahead.

NOTICE OF ANNUAL GENERAL MEETING AND DIVIDEND

Notice is hereby given for the sixth annual general meeting of the shareholders of Home Afrika Limited will be held at on Thursday 25th June 2015.

The directors do not recommend a dividend for the year ending 31st December 2014

Njoroge Ng'ang'a
Chief Executive Officer
29th April, 2015